

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 18-07

MARINE TRANSPORT LOGISTICS, INC.

COMPLAINANT

v.

CMA CGM (AMERICA) LLC

RESPONDENT

ANSWER OF RESPONDENT CMA CGM (AMERICA) LLC TO AMENDED COMPLAINT

Respondent CMA CGM (America) LLC ("CMA"), by its undersigned attorneys, answers the Complaint of Marine Transport Logistics, Inc. ("MTL") and alleges upon information and belief as follows:

PARTIES

1. Respondent admits that MTL is a corporation with a principal place of business in Bayonne, NJ 07002. Respondent lacks sufficient information to admit or deny the remaining allegations.
2. Respondent admits that MTL is a duly licensed Non-Vessel Operating Common carrier ("NVOCC").
3. Respondent admits that it has an office located at One Meadowlands Plaza, Suite 201, East Rutherford, NJ, 07073. Respondent denies the remaining portions of

paragraph 3, and clarifies that CMA acts as agent for CMA CGM S.A., which is a Vessel Operating Common Carrier.

JURISDICTION

4. Respondent denies that the Federal Maritime Commission (“FMC”) has proper subject matter jurisdiction under either 46 U.S.C.S. 30701 or 46 U.S.C.S. 40101, et seq.
5. Respondent admits that MTL placed bookings governed by CMA’s bill of lading and service contract terms for transportation of used motor vehicles from the United States to Yemen using the nine identified containers, all of which bookings were placed from November 29 through December 1, 2017.
6. Respondent denies that it received payment of full freight/shipping charges from MTL, as defined by the relevant terms of CMA’s bill of lading and the service contract entered into between CMA and MTL.
7. Respondent admits the allegations of paragraph 7 to the extent the six identified containers were not delivered to the originally booked port of discharge due to political instability in Yemen and the significant risks/difficulties associated with such issues. Respondent denies the remaining allegations.
8. Respondent admits that it issued a customer advisory on or about December 6, 2017, which stated bookings of motor vehicles to the Port of Aden would no longer be accepted “due to [the] uncertain and deteriorating situation in Yemen,” and that CMA would allow a Change of Destination (“COD”) to ports of discharge other than Aden or Hodeidah for existing bookings, subject to a COD fee and provided that the

commodities conformed to relevant rules/regulations for the pertinent country, including age restrictions for motor vehicles. Respondent lacks sufficient information to either admit or deny that CMA emailed MTL on or about November 17, 2017 stating "Please continue to book". Respondent denies the remaining allegations.

9. Respondent's investigation is continuing and, at this point, Respondent lacks sufficient information to admit or deny whether MTL may have received an email from CMA on or about January 19, 2018 stating "We can resume service to Aden, but each bkg is subject to approval before being confirmed" or an email stating "do (sic) to rising costs caused by the war, we need to raise our rate effective 2/1." The instability in Yemen was, and continues to be, a fluid situation, and relevant risks/restrictions are subject to change on a regular basis. Respondent denies the remaining allegations in Paragraph 9.
10. Respondent's investigation is continuing and, at this point, Respondent lacks sufficient information to admit or deny whether MTL may have received an email from CMA on or about January 24, 2018 stating "As FYI, I've been informed Yemeni authorities are now instructing us to not accept autos." Respondent denies the remaining allegations in Paragraph 10.
11. Respondent admits that, based on the Initial Disclosures previously provided by MTL to CMA, an email communication dated January 31, 2018 stated "Per our trade team, we stopped accepting all Automobiles to Yemen since November 2017."
12. Respondent denies the allegations.

13. Respondent denies the allegations.

14. Respondent denies the allegations.

15. Respondent denies the allegations.

16. Respondent denies the allegations.

17. Respondent denies the allegations.

FIRST CAUSE OF ACTION

18. Respondent reiterates its responses to paragraphs 1 to 17.

19. Respondent denies the allegations.

20. Respondent denies the allegations.

SECOND CAUSE OF ACTION

21. Respondent reiterates its responses to paragraphs 1 to 20.

22. Respondent denies the allegations.

THIRD CAUSE OF ACTION

23. Respondent reiterates its responses to paragraphs 1 to 22.

24. Respondent denies the allegations.

DAMAGES

25. Respondent lacks sufficient information to admit or deny this statement.

26. Respondent lacks sufficient information to admit or deny this statement.

27. Respondent lacks sufficient information to admit or deny this statement.

REQUEST FOR A HEARING

28. This paragraph does not require a response from Respondent.

INFORMAL DISPUTE RESOLUTION

29. Respondent admits that certain containers have not been released due to lack of payment by Complainant. Respondent further admits the parties have participated in mediation discussions with the Federal Maritime Commission's Consumer Affairs and Dispute Resolution Services regarding the shipments at issue. Respondent denies the remaining allegations in Paragraph 29.

AFFIRMATIVE DEFENSES

30. The Complaint fails to state a valid cause of action against CMA under the Shipping Act.

31. CMA reserves the right to seek enforcement of the forum selection clause and/or choice of law clause contained in the applicable service contract governing the shipments.

PRAYER FOR RELIEF

WHEREFORE, Respondent CMA respectfully requests that the Federal Maritime Commission deny the relief sought by Complainant.

Respectfully submitted,



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*Attorneys for Respondent CMA CGM
(America) LLC*

CERTIFICATE OF SERVICE

I hereby certify that I have served a true and correct copy of the foregoing Answer of Respondent CMA CGM (America) LLC on the Complainant by email and by sending a copy via United Parcel Services to Complainant's attorney at the following address:

Mr. Garry Pogil
112 West 34 Street, 18th Floor
New York, NY 10120
garry.pogil@gmail.com



Robert K. Magovern

VERIFICATION

I, Draughn Arbona, declare and state that I am the Deputy General Counsel of CMA CGM (America) LLC; that I have heard the foregoing Answer of Respondent CMA CGM (America) LL to Amended Complaint; and that the facts stated therein are true to the best of my knowledge, information, and belief formed after reasonable inquiry.

I declare this 16 day of November, 2019, under penalty of perjury, that the foregoing is true and correct.


Draughn Arbona